



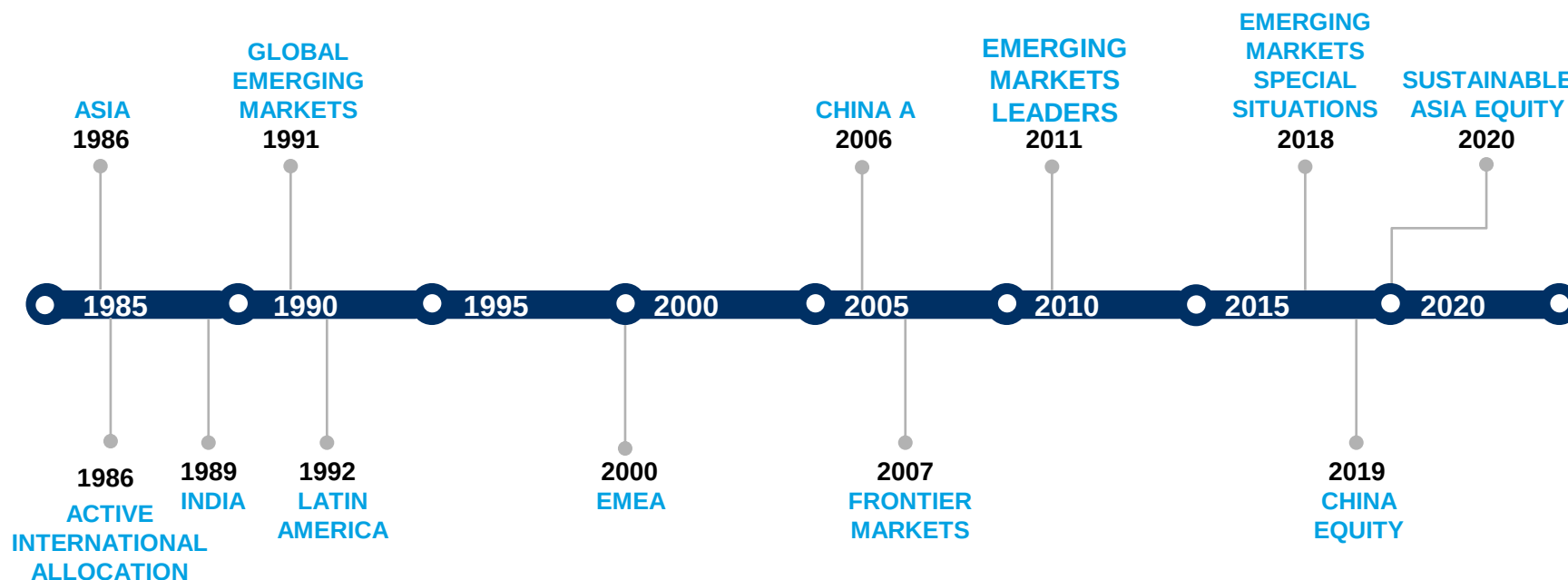
Morgan Stanley Investment Funds (MS INVF) Emerging Leaders Equity Fund

August 2021

FOR PROFESSIONAL CLIENTS ONLY. NOT FOR ONWARD DISTRIBUTION

Investment Pioneers in Emerging Markets Since 1986

History of Morgan Stanley Investment Management offerings



Our Team

Based in New York, Singapore, Hong Kong & Mumbai

20+ YEARS AVERAGE PM EXPERIENCE · 14+ YEARS AVERAGE PM TENURE · 10+ YEARS AVERAGE ANALYST EXPERIENCE

GEM & REGIONAL CO-LEADS

Amay Hattangadi
Paul Psaila
Eric Carlson*

CHINA

Leon Sun
Chelsea Hua
Xijuan Sun*
Jerry Peng

ASIA EX JAPAN

Rose Kim*
Saurabh Mishra*
Samson Hung
Aayushi Kukreja

LATIN AMERICA

Jorge Chirino*
Eduardo Wisbrun*

RUCHIR SHARMA

Head of Emerging
Markets
MSIM Chief Global
Strategist

Jitania Kandhari
Head of Macro Research
Eli Wiseman
Tony Emerson
Stephan Gabillard
Amol Rajesh*

ESG RESEARCH:

Candy Chao*

EMERGING LEADERS

Vishal Gupta
Arun Kapoor*

ACTIVE INTERNATIONAL ALLOCATION

Jitania Kandhari
Ben Rozin
Eli Wiseman
Giovanni Urbanucci*

NEXT GEN EM

Steven Quattri
Jorge Chirino*
Cristina Dalton

CLIENT PORTFOLIO MANAGERS

Amy Oldenburg, Chief Operating Officer
Louise Teeple
James Upton

Steve Sun
Dana Phillips*
Ashley Chen

PORTFOLIO SUPPORT

Ashley Barone
Cherie Stewart
Satyam Sharma

(*) Denotes members of the ESG steering committee. As of July 31, 2021. PM tenure based on number of years with MSIM. Team members may change, without notice, from time to time.

Our Global Equity Strategies

Assets Under Management ⁽¹⁾ (MM) as of August 31, 2021

GLOBAL EMERGING MARKETS

Global Emerging Markets	\$7,246
Next Gen Emerging Markets	\$333
Emerging Markets Leaders	\$2,339
Emerging Markets Special Situations	\$788

REGIONAL/COUNTRY

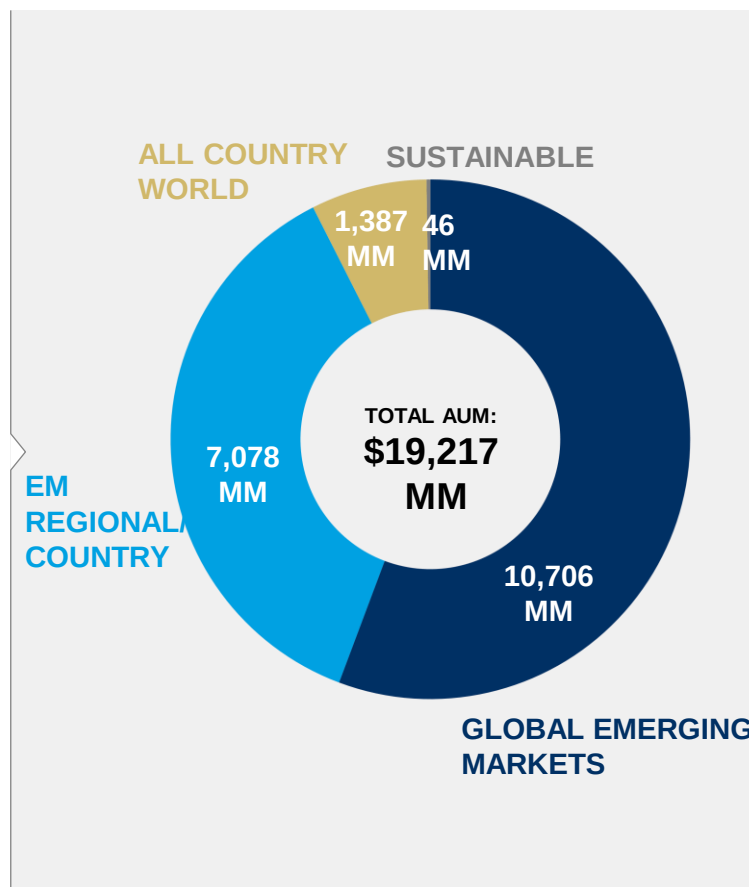
Asia ⁽²⁾	\$5,116
China ⁽³⁾	\$1,070
EMEA	\$93
India	\$461
Latin America	\$338

SUSTAINABLE

Sustainable Asia Equity	\$46
-------------------------	------

ALL COUNTRY GLOBAL MARKETS

Active International Allocation	\$247
Global Equity Allocation	\$1,140



Source: Morgan Stanley Investment Management

1. Assets are presented in millions of US dollars. The figure includes assets managed globally under these strategies within a number of separate products, jurisdictions and mandates.

2. Includes developed Asia as defined by MSCI.

3. China includes All China, China A-share and Hong Kong assets.

This represents how the portfolio management team generally implements its investment process under normal market conditions.

Competitive Advantages

Focus on continental sized markets with significant runway of growth

Target great businesses with strong quality characteristics

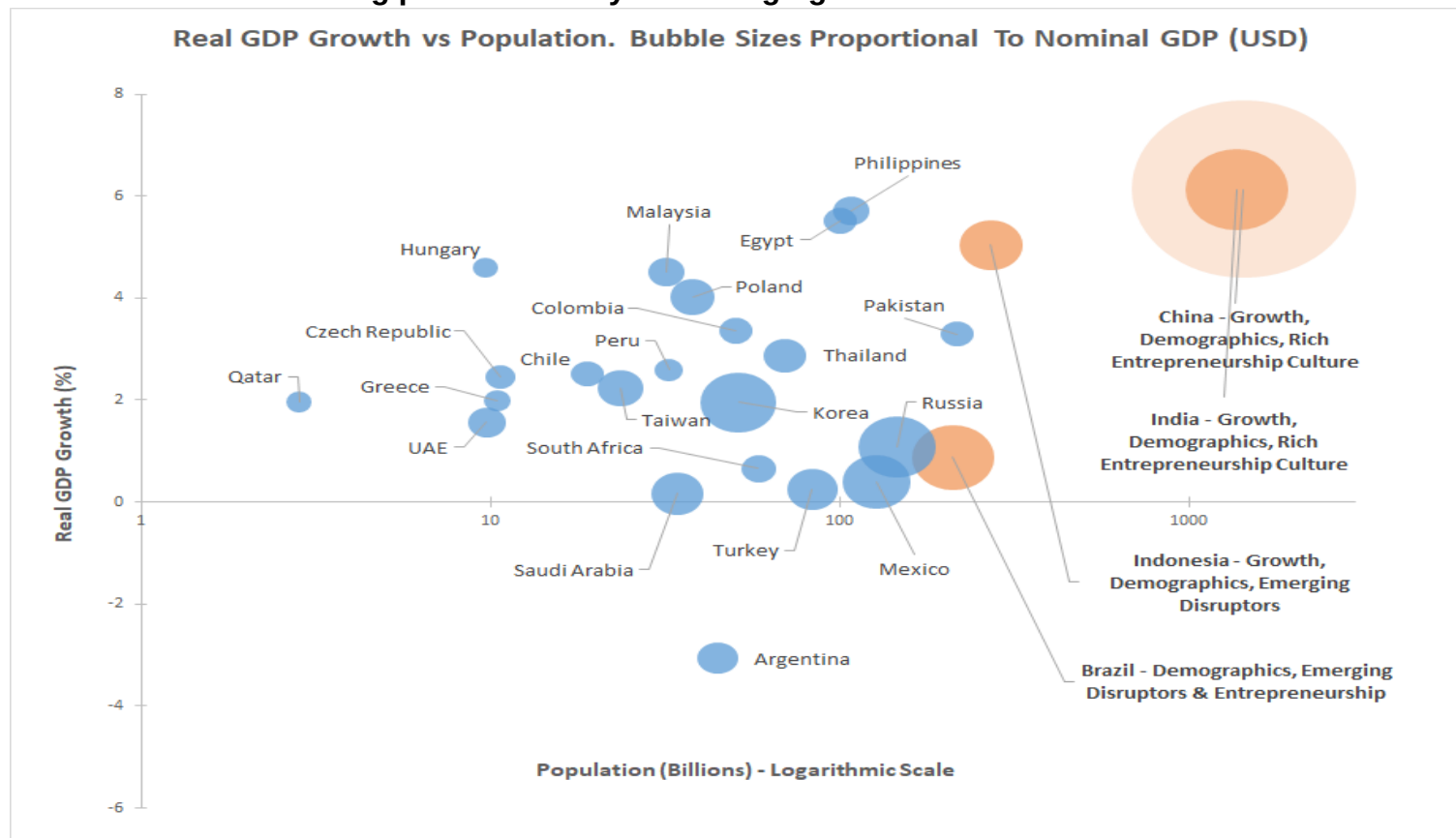
Concentrated portfolio of high conviction investments that can weather the short-term market volatility

Leverage an experienced, well-resourced EM team for economic insights to help minimize country risk

We See the Greatest Potential in Continental-Sized Markets

- Focused on 4 of the top 5 demographic markets -- Greater China, India, Brazil, Indonesia
- Large domestic consumption markets with a long runway for premiumization
- Legacy of high-quality entrepreneurship DNA, driven by systemic / societal needs

Big picture: Twenty-six emerging market countries¹

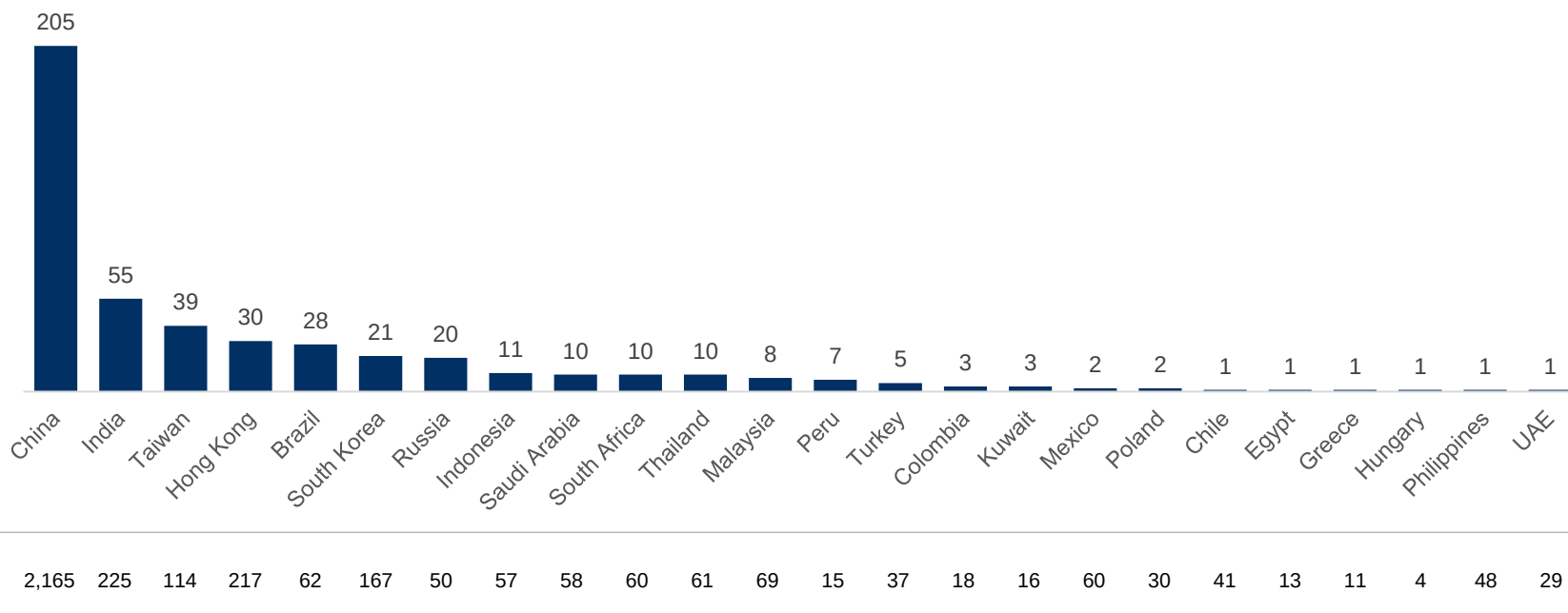


¹ Based on the 26 countries in the MSCI Emerging Market Index Source: Morgan Stanley Investment Management, MSCI as of September 2019. This represents how the portfolio management team generally implements its investment process under normal market conditions.

Compounders by Country – 5 Years

Number of Companies Compounded by >15% CAGR (\$1BN+ mkt cap)

By Entity Country, Compound Annual Growth Rate 2016 – 2020 (in USD)



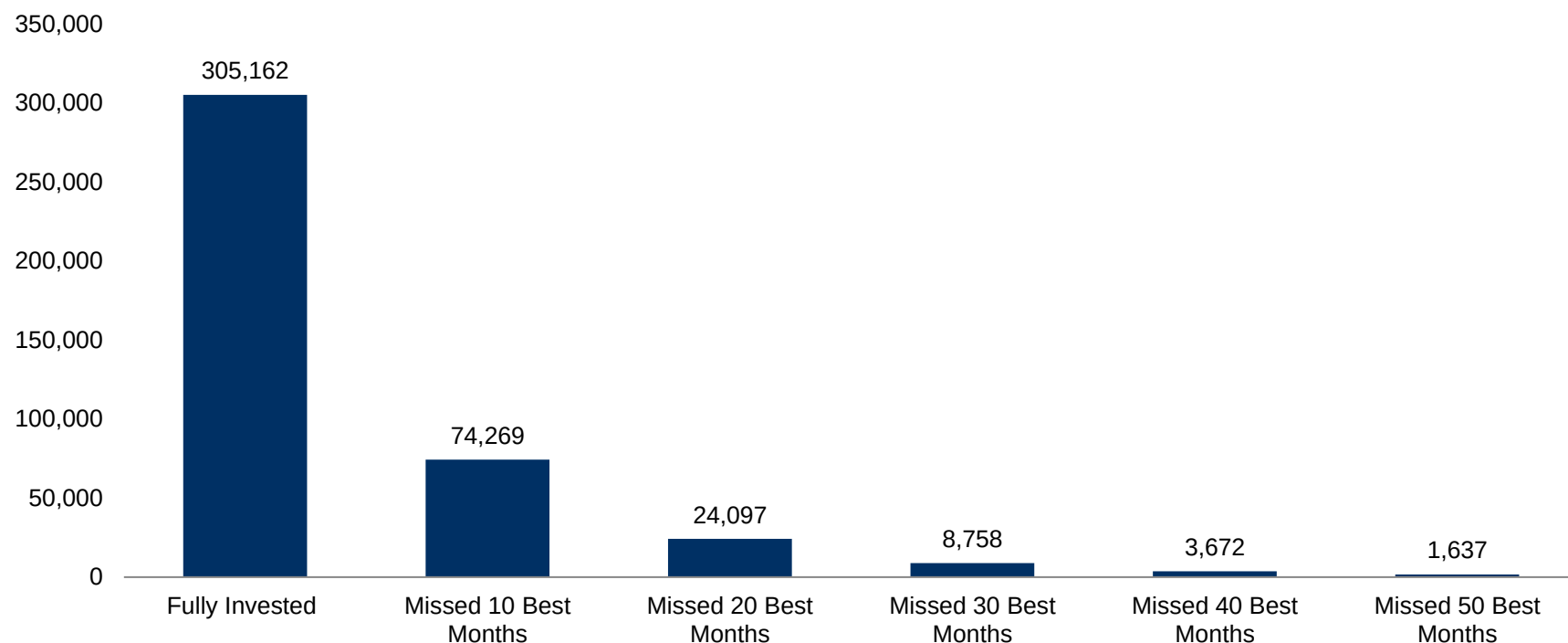
Source: FactSet, MSIM calculations. Data as of December 31, 2020. CAGR represents compound annual growth rate, calculated for 2016-2020 in USD terms. Market cap calculated as of December 31, 2015. Securities grouped by country of entity in FactSet.

Hard to Time the Bottom in Markets

Returns of MSCI EM

Performance of \$10,000 Investment Between January, 1988 and December 2020

(\$)



Source: Bloomberg, FactSet, Haver, MSIM EM Research as of December 31, 2020

For illustrative purposes only. Past performance is not a guarantee of future results and is not intended to predict or represent the performance of any Morgan Stanley investment or strategy.

Investment Process: Disciplined & Repeatable



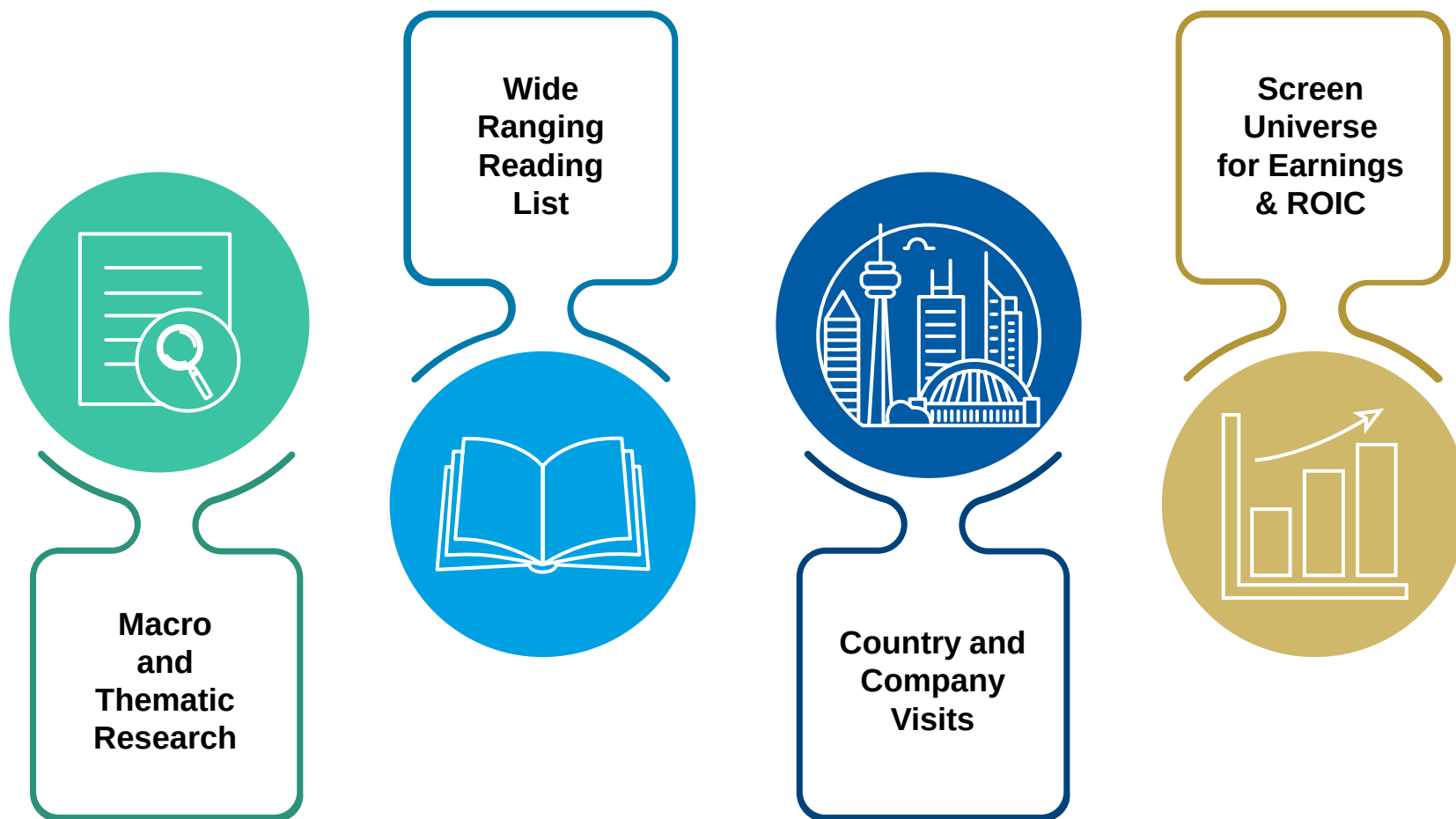
This represents how the portfolio management team generally implements its investment process under normal market conditions.

Coverage Universe



Step 1: Thematic Analysis

Identify sustainable pockets of growth



Step 2: Company Analysis

Define high quality growth company



GROWTH

- The company has a proven track record of stable earnings growth
- We can identify a visible path for earnings to grow in the future
 - Growing industry
 - Increasing market share
 - Defensible dominant market position
 - Strategy for expansion



ROIC

- The company can deliver stable/improving ROIC
 - Low leverage
 - Low capital intensity
 - Operating Leverage
- We believe ROIC is sustainable
 - Management
 - Stable industry structure
 - Ability to fund growth with internal accruals



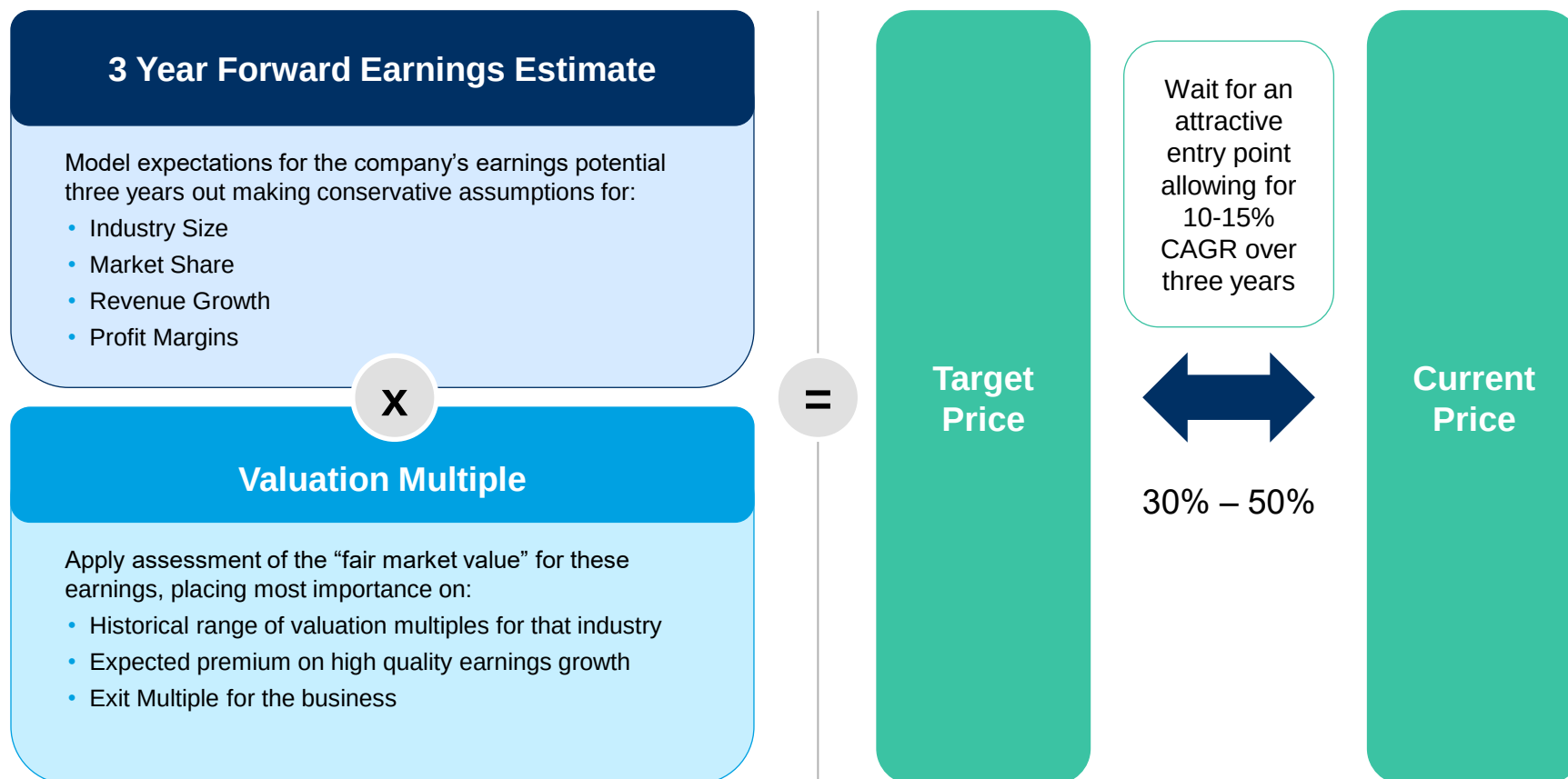
MANAGEMENT

- Management incentives ensure alignment of interests with shareholders
- Demonstrated disciplined capital management in the past
- Return on invested capital for shareholders is a key performance indicator
- Transparency and availability of information
- Engage on policies to maintain a sustainable business model (E,S,G)

“When a management with a reputation for brilliance tackles a business with a reputation for bad economics, it is the reputation of the business that remains intact.” Warren Buffett

Step 3: Entry and Exit Prices

Recognize attractively priced growth

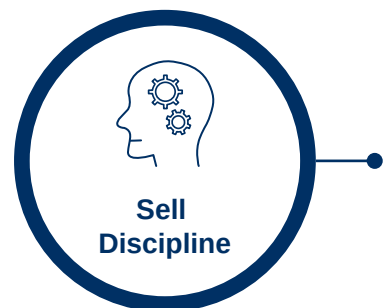


This represents how the portfolio management team generally implements its investment process under normal market conditions. The targets, turnovers and exposures presented are typical ranges. There is no assurance that these targets will be attained.

Portfolio Construction



- Initial position size ~0.5%-1%
- Position sizing primarily depends upon conviction and entry price
- Volatility and liquidity are key considerations while sizing
- Top 10 position sizes ~3%-8%



- Approaching price target / fair value
- Thesis is broken
- Deterioration in thematic growth tailwind, country fundamentals
- Company's inability to execute
- Inconsistent strategic decisions
- Bad capital allocation
- Better risk adjusted return opportunity



Characteristics

Concentrated

- 25-40 holdings
- High active share
- Low turnover 30%-40%
- Top 10 holdings ~50-60%

Low Volatility

- Lower standard deviation
- Lower downside capture

Benchmark Agnostic

- No sector/country constraints
- All cap

Quality Growth

- ROIC >15%
- Predictable mid to high teens earning growth

=

This represents how the portfolio management team generally implements its investment process under normal market conditions. The targets, turnovers and exposures presented are typical ranges. There is no assurance that these targets will be attained.

MS INVF Emerging Market Leaders Portfolio

 CONSUMER	Brands: Li Ning, Nike, Proya Premiumization: Wuliangye Yibin	Delivery Services: Delivery Hero, Meituan Dianping Niche Platforms: Global Fashion Group	Specialty Chemicals: Aarti Industries, PI Industries, SRF
 FINANCIALS	Structural Market Share Winners: Kotak Mahindra Bank	Niche Lenders: AU Small Finance Bank, Bajaj Finance	Rising Wealth: IIFL Wealth Management
 HEALTHCARE	Hospitals: Apollo Hospitals		
 TECHNOLOGY	Artificial Intelligence / Semiconductors / Cloud Infrastructure: AMD, Nvidia, TSMC, Voltronic	Ecosystems: Mercadolibre, Tencent Next-gen Ecosystems: SEA Ltd.	IT Services: Globant, Happiest Minds Payments/Fintech: Pagseguro Digital, Stoneco Localization: Silergy SaaS: Kingdee

This represents how the portfolio management team generally implements its investment process under normal market conditions. The targets, turnovers and exposures presented are typical ranges. There is no assurance that these targets will be attained.

Thematic: Brazil Fintech

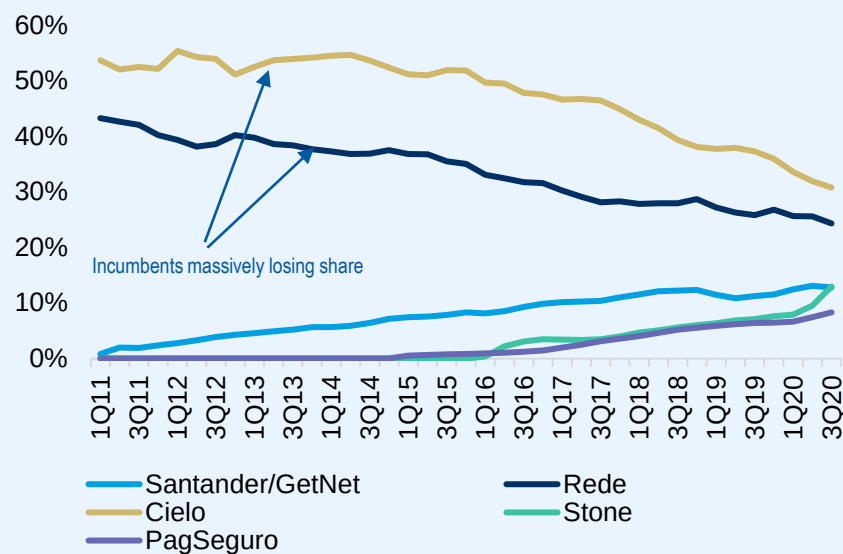
Market Disruption On-Going

- Disrupters growing asymmetrically by breaking inefficient profit pools & democratizing finance
- Thermoplastic Vulcanizes structural growth of 20%+ CAGR driven by cheap POS adoption & no-frills retail accounts. Regulatory alignment with disruptors to lower financial inefficiency
- New adjacencies around a core offering (PagBank for Pagseguro, SaaS for Stone) = Operating Leverage

Fees-to-Revenue Ratio For LatAm Banks



Incumbents Losing Market Share In Payment (TPV % Share)



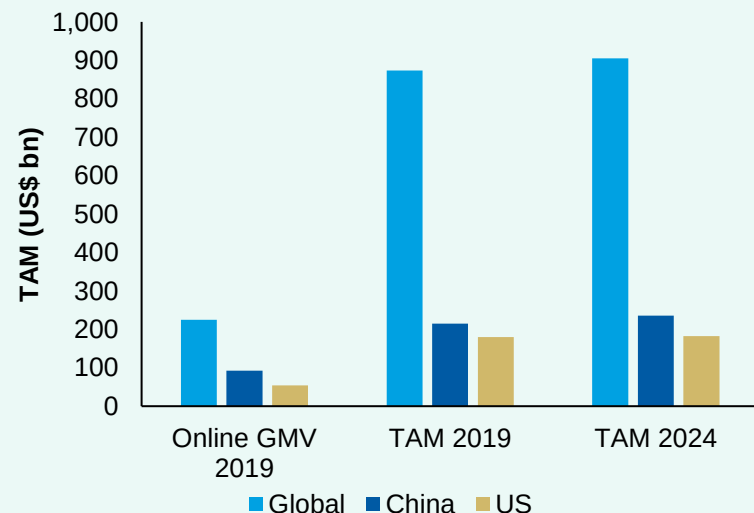
Source: Morgan Stanley Investment Management, JP Morgan, Anbima, ABCECS, Company Reports. Data as of September 30, 2020. For illustrative purposes only. Information on securities is provided for reference only and should not be deemed as a recommendation to buy or sell securities referenced. Securities identified and described herein may or may not be held in the portfolios at the date of this publication. Past performance is not indicative of future performance.

Thematic: Global On-Demand / Food Delivery

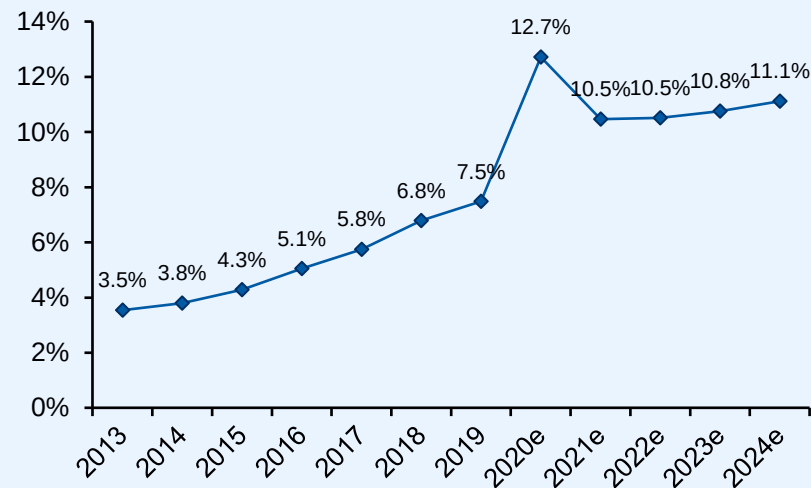
Changing Habits Globally

- One of highest structural growth thematics driven by adoption, aided by Covid / stay at home trend
- Huge market ~US\$ 900bn food delivery Total Addressable Market (online penetration quite low = long runway) with leadership emerging / strengthening at national levels
- Strong logistics capabilities at hyper-local level combined with network optimization creating moats
- Adjacencies (groceries, express delivery) with primary food delivery bringing operating leverage

Global Online Food Delivery TAM Evolution



Global Food Delivery Penetration Vs Restaurant Sales

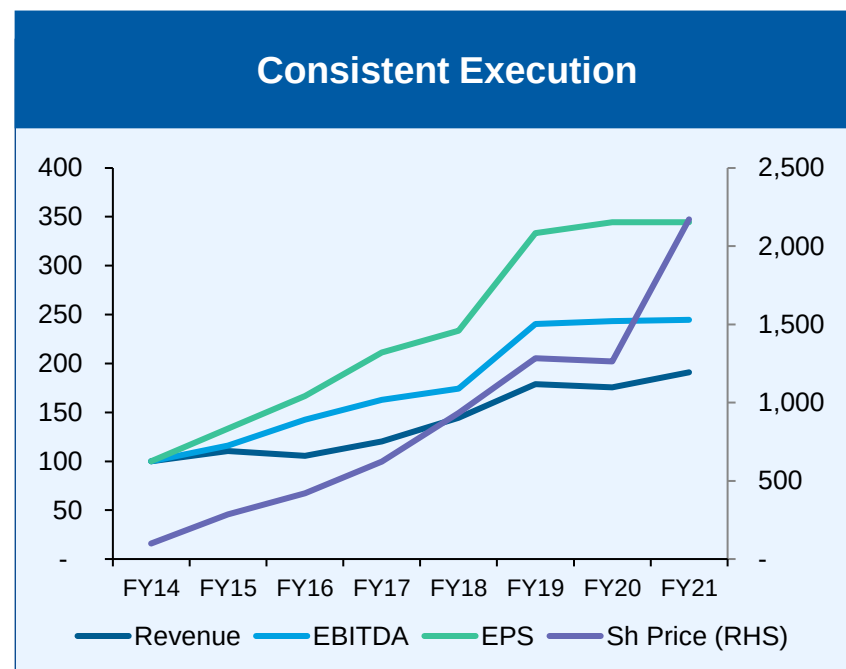
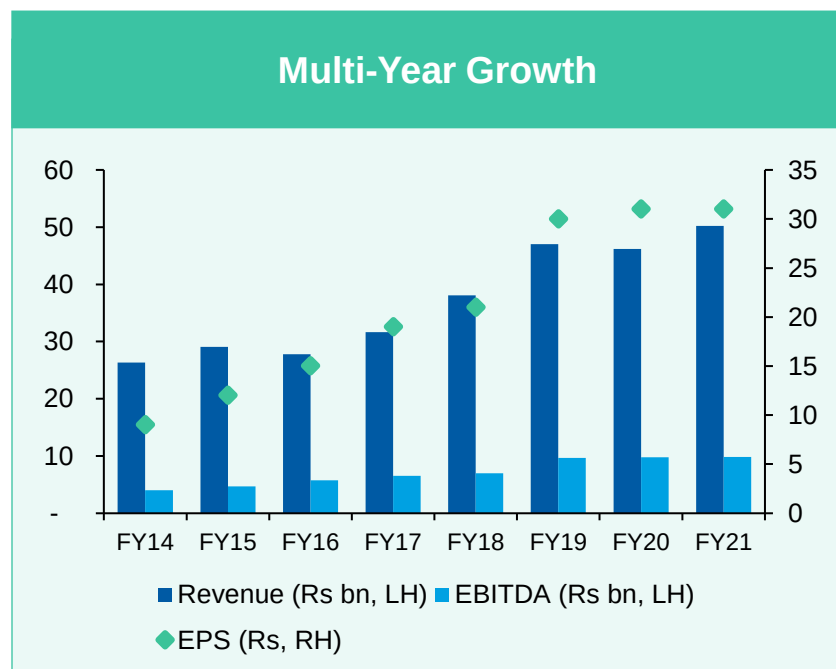


Source: Morgan Stanley Investment Management, Bernstein. Data as of 2019. For illustrative purposes only. Information on securities is provided for reference only and should not be deemed as a recommendation to buy or sell securities referenced. Securities identified and described herein may or may not be held in the portfolios at the date of this publication. Past performance is not indicative of future performance. Forecasts/estimates are based on current market conditions, subject to change, and may not necessarily come to pass.

Thematic : Specialized Chemicals

Global Diversification / Import Substitution

- Structural increase in India's market share of global chemical supply chain
- Large opportunity for growth from import substitution in local market
- Global shift in specialty chemical market share away from China due to cost advantage and supply risk diversification



Source: Morgan Stanley Investment Management, Kotak Securities. Data as of FY2021March. For illustrative purposes only. Information on securities is provided for reference only and should not be deemed as a recommendation to buy or sell securities referenced. Securities identified and described herein may or may not be held in the portfolios at the date of this publication. Past performance is not indicative of future performance. Forecasts/estimates are based on current market conditions, subject to change, and may not necessarily come to pass.

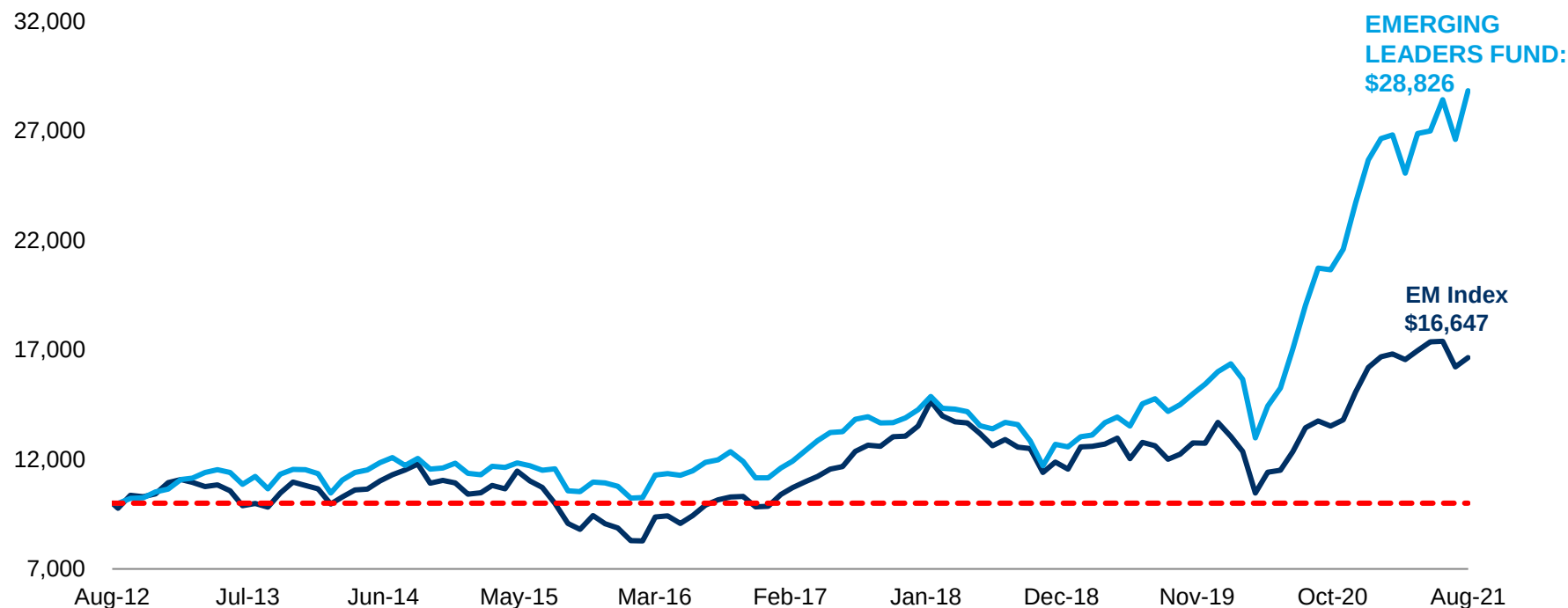
Compounding Effects of Performance

MS INV Emerging Leaders Fund vs. MSCI Emerging Markets Index

MS INV Emerging Leaders Fund Inception Date is August 17, 2012

As of August 31, 2021 (USD)

Cash Value



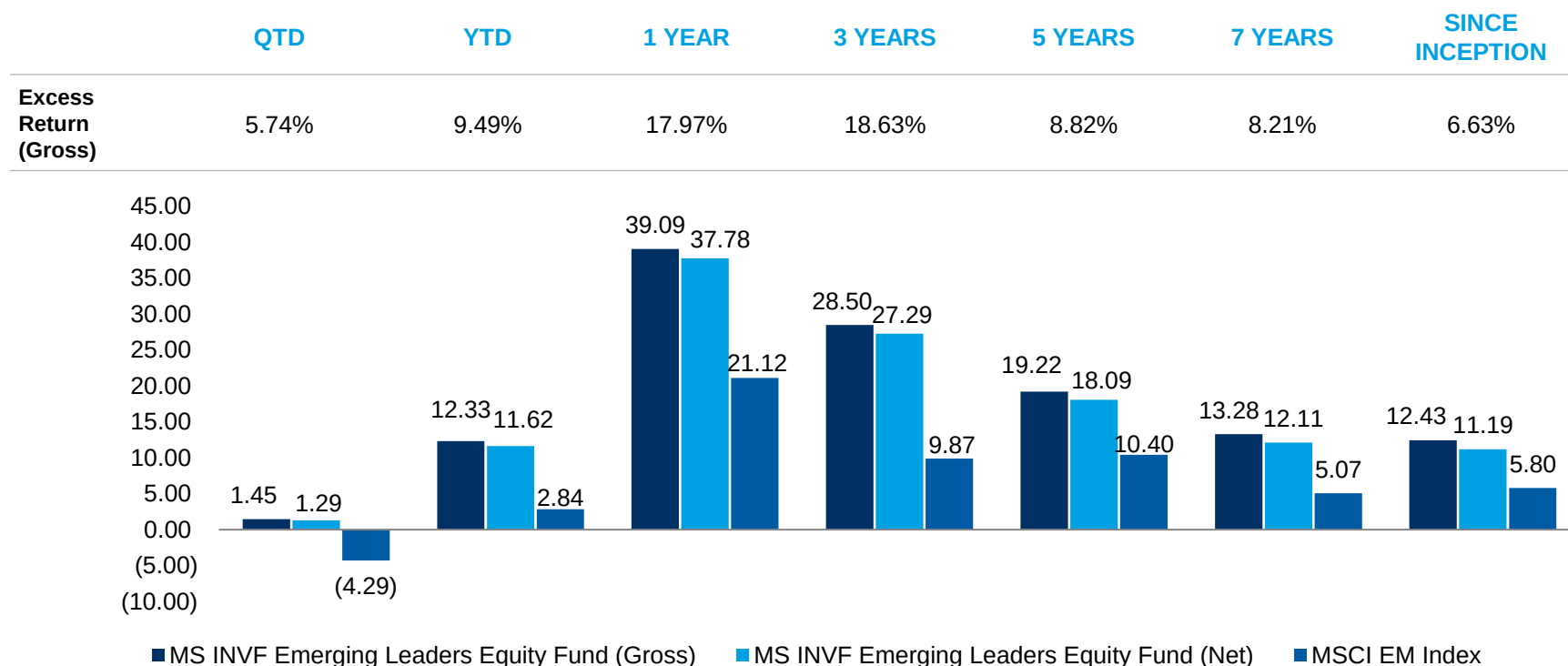
The chart shows the performance of 10,000 USD invested since inception (Cash Value). Performance returns reflect the average annual rates of return. The comparison index is the MSCI Emerging Markets Net Index with cumulative dividends reinvested. **Past performance is not a reliable indicator of future results. Returns may increase or decrease as a result of currency fluctuations. All performance data is calculated NAV to NAV, gross of fees, and does not take account of commissions and costs incurred on the issue and redemption of units. The sources for all performance and Index data is Morgan Stanley Investment Management. Had fees been included, returns would be lower. Please refer to slides 15 for year-to-date performance.**

Performance Returns

MS INVF Emerging Leaders Equity Fund

Performance Returns as of August 31, 2021 (USD) (%)

MS INVF Emerging Leaders Equity Fund inception date is August 17, 2012



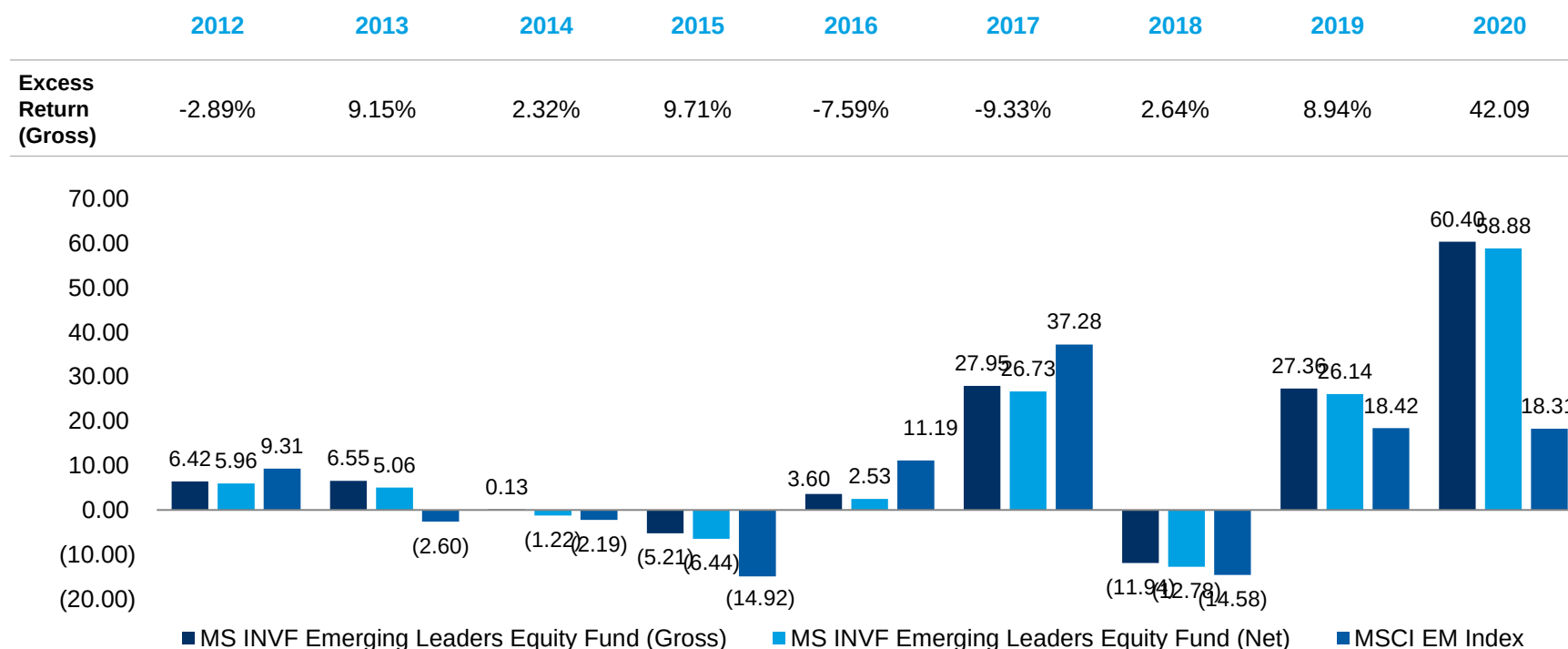
Past performance is not a reliable indicator of future results. Returns may increase or decrease as a result of currency fluctuations. All performance data is calculated NAV to NAV and does not take account of commissions and costs incurred on the issue and redemption of units. The sources for all performance and Index data is Morgan Stanley Investment Management. Performance returns reflect the average annual rates of return. Periods less than 1 year are not annualized. MS INVF Emerging Leaders Equity Fund Class Z shares performance figures are presented GROSS and NET of investment management fees, does not take account of commissions and costs incurred on the issue and redemption of units and are quoted in USD terms. Performance figures are based on price comparison of NAV to NAV. The MSCI EM Net Index assumes the reinvestment of dividends after the deduction of withholding tax and approximates the minimum possible dividend reinvestment.

Performance Returns

MS INVF Emerging Leaders Equity Fund

Calendar Year Performance Returns (%)

MS INVF Emerging Leaders Equity Fund inception date is August 17, 2012



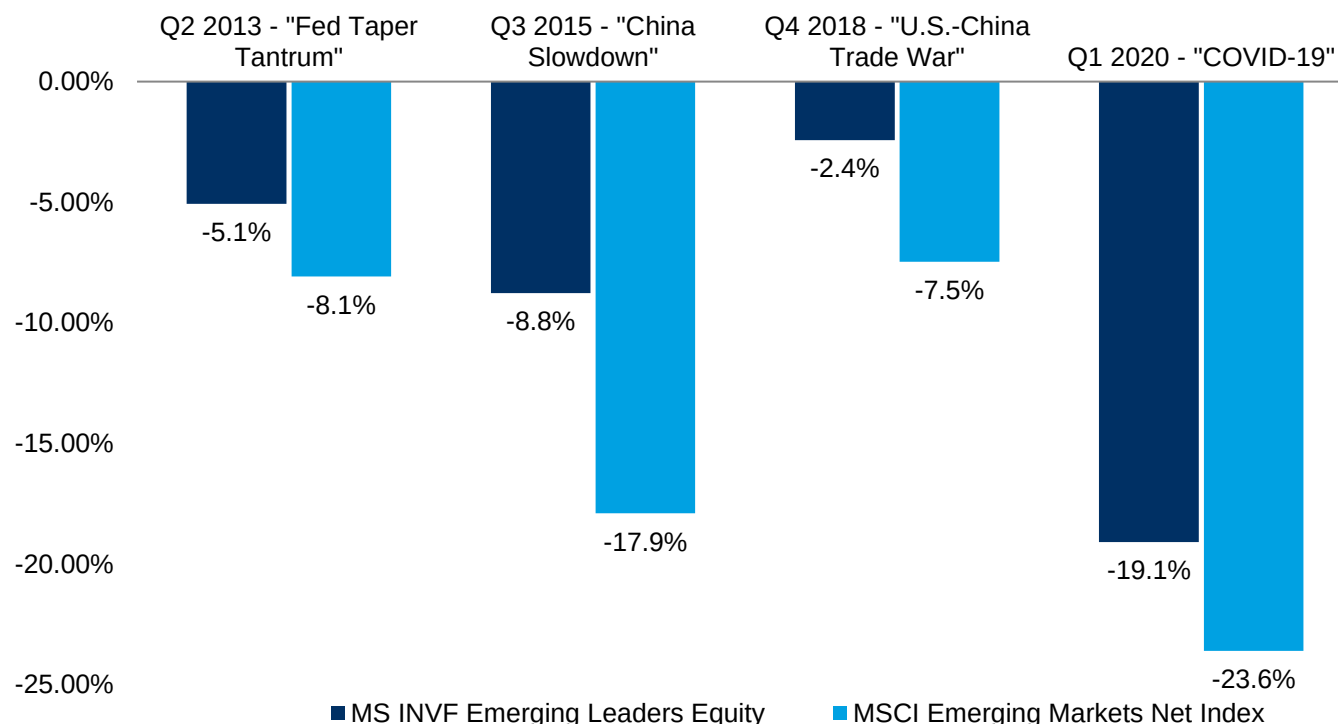
Past performance is not a reliable indicator of future results. Returns may increase or decrease as a result of currency fluctuations. All performance data is calculated NAV to NAV and does not take account of commissions and costs incurred on the issue and redemption of units. The sources for all performance and Index data is Morgan Stanley Investment Management. Performance returns reflect the average annual rates of return. Periods less than 1 year are not annualized. MS INVF Emerging Leaders Equity Fund Class Z shares performance figures are presented GROSS and NET of investment management fees, does not take account of commissions and costs incurred on the issue and redemption of units and are quoted in USD terms. Performance figures are based on price comparison of NAV to NAV. The MSCI EM Net Index assumes the reinvestment of dividends after the deduction of withholding tax and approximates the minimum possible dividend reinvestment.

Record of Outperforming in Tough Times

MS INVF Emerging Leaders Equity vs. MSCI Emerging Markets Index in Down Quarters

Returns During Worst Quarters for MSCI Emerging Markets Net Index Since June 2011

Performance (%) Through June 30, 2021



The comparison index is the MSCI Emerging Markets Net Index with cumulative dividends reinvested. **Past performance is not a reliable indicator of future results. Returns may increase or decrease as a result of currency fluctuations. All performance data is calculated NAV to NAV, net of fees, and does not take account of commissions and costs incurred on the issue and redemption of units. The sources for all performance and Index data is Morgan Stanley Investment Management.**

Consistent Outperformance in Down Markets

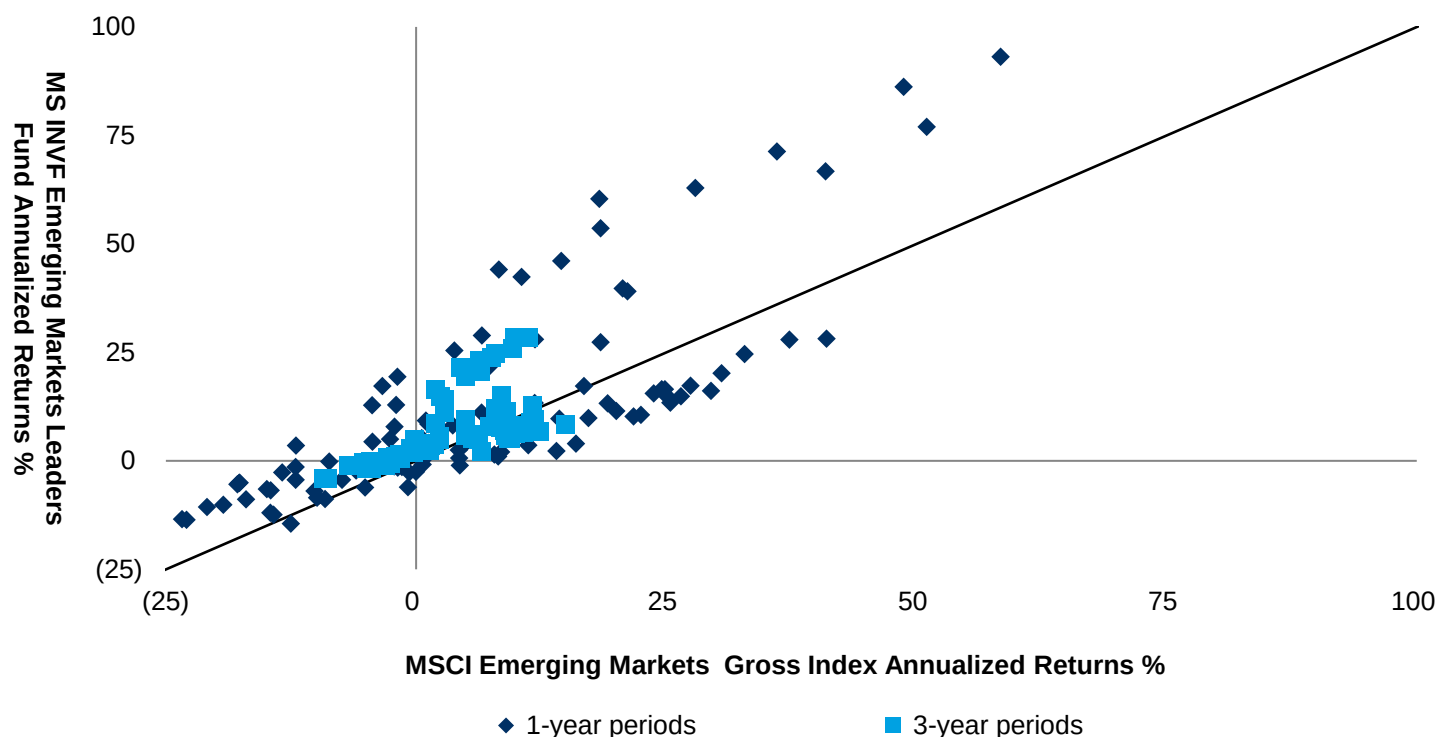
MS INVF Emerging Leaders Equity vs. MSCI Emerging Markets Net Index

Rolling 1- and 3- year periods from inception through August 31, 2021 (USD), monthly data gross of fees

MS INVF Emerging Leaders Equity Inception Date is August 17, 2012

MS INVF Emerging Leaders Equity Annualized Returns (%)

Rolling Periods Beating the Index: 1-year 64%; 3-years 71%



Performance returns reflect the average annual rates of return. The comparison index is the MSCI Emerging Markets Net Index with cumulative dividends reinvested. **Past performance is not a reliable indicator of future results.** Returns may increase or decrease as a result of currency fluctuations. Average excess monthly returns are presented GROSS of investment management advisory fees, include the reinvestment of dividends and income and would be lower if fees were deducted. Had portfolio operating expenses been included, the returns would be lower and the results may differ. The sources for all performance and Index data is Morgan Stanley Investment Management. Please refer to slides 15-16 for current performance information. Please refer to slides 15 for year-to-date performance.

Morgan Stanley

INVESTMENT MANAGEMENT

ESG

Our Engagement Philosophy

Focus on Direct Company Engagements on Material ESG Issues with Emphasis on Quality over Quantity of Engagements



This represents how the portfolio management team generally implements its investment process under normal market conditions.

MS INV Emerging Leaders Rankings

MSCI Scores¹

4.5

Portfolio Quality Score

Versus the MSCI EM Index at 5.0

4.3

Environmental

Versus the index at 5.2

4.9

Social

Versus the index at 5.0

4.2

Governance

Versus the index at 3.6

MSCI Individual Portfolio Position Rankings

Highest Rated Companies by MSCI

1. Taiwan Semiconductor Manufacturing (4.98%) – strengthened strategic focus on ESG-related issues, strong water conservation programs
2. Nvidia (2.52%) – strong human capital management initiatives despite employee-centered risks from acquisitions
3. Kingdee- (2.36%) - strong employee management and data security initiatives
4. Meituan (6.31%) – strong data protection measures, labor challenges persist
5. Mercadolibre (5.16%) – strong employee initiatives to promote staff retention

Lowest Rated Companies by MSCI

1. Proya Cosmetics (1.28%) – Lacks strong risk management efforts across ESG pillars
2. Silergy (3.74%) – well positioned to capture clean tech opportunities but lags peers in talent retention strategy
3. Wuliangye Yibin (2.52%) – weak practices to mitigate water-related risks; lack of a responsible marketing policy
4. Bilibili (2.39%) – limited initiatives to develop and maintain a skilled workforce
5. New Oriental Education & Technology Group (1.43%) – limited data security mechanisms despite increased exposure to privacy-related risks

Carbon Footprint²

	Carbon Emissions	Total Carbon Emissions*	Carbon Intensity	Weighted Average Carbon Intensity
Portfolio	8.9	8,924	110.7	85.2
MSCI EM Index	216.4	216,359	407.6	281.9
	t CO2e / \$M invested	t CO2e	t CO2e / \$M Sales	

¹ Scale of 0 – 10 (Weak – Strong). As of June 2021. Rankings based on the MS INV Emerging Leaders Fund. MSCI coverage includes 1,360 of the 1,412 holdings. Quality score is a portfolio weighted-average of individual companies' ESG ratings.

² Source: MSCI ESG. Based on portfolio investment of \$1,000,000,000 in the portfolio and index. Coverage by portfolio weight for carbon analytics is 90.7% for the portfolio and 99.8% for the MSCI EM Index. Information on securities provided for reference only and should not be deemed as a recommendation to buy or sell the securities referenced.

Emerging Markets Leaders Portfolio Proxy Voting

- We vote all shares in the portfolio guided by MSIM's Proxy Voting Policy. No securities lending.
- We make use of third-party research vendors (e.g. ISS) for guidance, though all vote recommendations are made by the MSIM team. We have five full time professionals supporting proxy voting across the globe.
- Portfolio managers oversee votes and make their own recommendations.
- Example of voting against management: we voted against approving remuneration and tantiem of directors and commissioners because disclosure was limited and, in our view, needed to improve.

Common reasons we abstain or vote against management

- If we are not given the opportunity to vote on individual nominees to the board of directors
- Nominees appear overcommitted on other boards, or do not attend board meetings regularly
- If disparate issues are combined under one vote
- Long term incentives not sufficiently tied to performance
- Lack of or insufficient information
- Proposals that we believe could dilute existing shareholders

Common reasons we vote with management

- Routine proposals such as approval of financial statements, auditor reports, bylaw amendments
- Nominees for board of directors which meet our requirements
- Proposals aimed at eliminating unequal voting rights
- Dividend payout, share repurchase and stock splits if reasonable
- We support enhanced disclosure on social, political and environmental matters so long as we believe reporting isn't too onerous or costly

This represents how the portfolio management team generally implements its investment process under normal market conditions.

Risk Considerations

- The fund relies on other parties to fulfill certain services, investments or transactions. If these parties become insolvent, it may expose the fund to financial loss.
- There may be an insufficient number of buyers or sellers which may affect the funds ability to buy or sell securities.
- There are increased risks of investing in emerging markets as political, legal and operational systems may be less developed than in developed markets.
- Past performance is not a reliable indicator of future results. Returns may increase or decrease as a result of currency fluctuations. The value of investments and the income from them can go down as well as up and investors may lose all or a substantial portion of his or her investment.
- The value of the investments and the income from them will vary and there can be no assurance that the Fund will achieve its investment objectives.
- Investments may be in a variety of currencies and therefore changes in rates of exchange between currencies may cause the value of investments to decrease or increase. Furthermore, the value of investments may be adversely affected by fluctuations in exchange rates between the investor's reference currency and the base currency of the investments.

Morgan Stanley

INVESTMENT MANAGEMENT

Appendix and Disclosures

Exposure

MS INVF Emerging Leaders Equity Fund

Country Exposure

As of August 31, 2021

India	26.24%
China	21.72%
Brazil	11.50%
Taiwan	11.17%
Indonesia	9.44%
United States	9.39%
Germany	5.77%
Argentina	1.49%

Industry Group Exposure

As of August 31, 2021

Retailing	17.51%
Semiconductors & Semiconductor Equipment	15.11%
Media & Entertainment	12.00%
Software & Services	11.38%
Consumer Durables & Apparel	10.15%
Diversified Financials	7.05%
Materials	6.98%
Banks	5.93%
Health Care Equipment & Services	4.41%
Capital Goods	2.33%
Food, Beverage & Tobacco	2.20%
Household & Personal Products	1.67%

Source: Morgan Stanley Investment Management. Excludes cash.

Portfolio data was generated from Morgan Stanley's internal accounting records. Portfolio allocation is based on the total market value of the portfolio. Subject to change daily. Provided for informational purposes only and should not be deemed as a recommendation to buy or sell securities in the countries shown above. Numbers may not add to 100 due to rounding.

Portfolio Characteristics

MS INVF Emerging Leaders Equity Fund

Data as of August 31, 2021

Presented in USD Terms

	MS INVF EMERGING LEADERS EQUITY FUND	MSCI EMERGING MARKETS NET INDEX
Price/Earnings (LTM) ⁽¹⁾	52.19	14.19
Est 3 to 5 Yr EPS Growth	39.90	13.38
Dividend Yield (%)	0.29	2.07
ROE (%)	18.49	14.93
Price/Book	11.01	1.93
Active Share	89.63	—
Name Turnover (1 year %)	17.86	—
Number of Holdings	28	1,123
MARKET CAPITALIZATION		
Weighted Median Market Capitalization (\$M)	47,652	18,986
Over 20 Bn	60.78%	64.39%
5 – 20 Bn	21.25%	28.86%
1 – 5 Bn	14.65%	6.73%
0 – 1 Bn	--	0.02%
Cash	3.32%	--

Risk / Return Statistics – Three Years as of August 31, 2021

Presented in USD Terms based on gross returns

	MS INVF EMERGING LEADERS EQUITY FUND	MSCI EMERGING MARKETS NET INDEX
Tracking Error	10.79	-
Information Ratio	1.73	-
Sharpe Ratio	1.24	0.45
Downside Capture (%)	85%	-
Upside Capture (%)	150%	-
Standard Deviation	21.95	19.21
Beta	1.00	-

Source: Morgan Stanley Investment Management

Past performance is not indicative of future results. Had fees been included, returns would be lower and results may differ. Subject to change daily. Provided for informational purposes. MSCI Emerging Markets Index is shown for comparison purposes only.

1. LTM = Last Twelve Months.

Top Ten Holdings

MS INV Emerging Leaders Equity Fund

As of August 31, 2021

SECURITY	LARGEST EM COUNTRY OF REVENUE	THEME	MS INV EMERGING LEADERS EQUITY FUND (%)	MSCI EM INDEX (%)	INITIAL PURCHASE	MONTHS HELD
SEA Ltd	Indonesia	Ecosystems	9.44	0.00	2020-Mar	17
Li Ning	China	Brands	7.03	0.37	2019-Sep	23
Bajaj Finance Ltd	India	Banks / Structural Market Share Winners	6.40	0.34	2019-Nov	21
Mercadolibre Inc	Brazil	Ecosystems	6.35	0.00	2019-Jan	31
Meituan	China	Delivery Services	5.39	1.41	2019-May	27
Taiwan Semiconductor Mfg Co Ltd	Taiwan	Artificial Intelligence / Semiconductors	4.89	6.68	2016-May	63
Apollo Hospitals	India	Hospital	4.41	0.08	2016-Sep	59
Delivery Hero AG	Korea	Delivery Services	4.34	0.00	2020-Jul	13
Silergy	Taiwan	Localization	3.96	0.14	2017-Oct	34
Aarti Industries	India	Specialty Chemicals	3.61	0.00	2019-Mar	29
Top 10 Holdings			55.81	9.03		

Source: Morgan Stanley Investment Management

Subject to change daily. MSCI Emerging Markets Index is shown for comparison purposes only. Top ten holdings are provided for informational purposes only and should not be deemed as a recommendation to purchase or sell the securities mentioned or securities within the countries and industries shown. Investors should not assume that investments in the securities identified were or will be profitable. **Holdings are subject to change.**

Emerging Markets Leaders Strategy Team

Vishal Gupta

Managing Director



Vishal is a Portfolio Manager on the Global Emerging Markets team, focusing on the Emerging Markets Leaders strategy, based in Singapore. He joined Morgan Stanley in 2014 and has 16 years of investment experience. Prior to joining the firm, Vishal worked at Sansar Capital as a research analyst covering Asian equities. Previously, he was an analyst covering the India oil & gas and retail sectors at Brics Securities in Mumbai. Vishal received his Bachelor's degree in Mechanical Engineering from Thapar University and an M.B.A. from the Indian Institute of Management, Ahmedabad.

Arun Kapoor

Vice President



Arun is an Analyst on the Global Emerging Markets team, focusing on the Emerging Markets Leaders strategy, based in Singapore. He joined Morgan Stanley in 2019 and has 13 years of investment experience. Prior to joining the firm, Arun worked at Ariana Investment Management as an investment analyst covering Asia Pacific ex-Japan equities. Previously, he worked in Asian equities at Macquarie Securities (Singapore, Mumbai) and Indian equities at Bank of America Merrill Lynch (Mumbai). Arun received his Bachelor's degree in Electrical Engineering from Indian Institute of Technology, Delhi.

Steve Sun, CFA

Executive Director



Steve is a Client Portfolio Manager for the Global Emerging Markets team. He joined the firm in 2016 and has 26 years of investment experience. Prior to joining the firm, Steve was the Head of Sales at Nomura Financial Investment Korea. Previously, he worked in the global equity group for BNP Paribas and as Portfolio Manager focusing on Asia Pacific markets for J.H. Whitney Investment Mgmt and Tantallon Capital Advisors in Singapore. He also worked at Merrill Lynch and Jardine Fleming Securities in New York and Hong Kong. Steve received a B.A. from Northwestern University in economics and a M.B.A. from Columbia University. He holds the Chartered Financial Analyst designation.

Investment Philosophy and Objectives

PHILOSOPHY

- Backward looking benchmark is not reflective of best growth opportunities in Emerging Markets and represents a limited opportunity set.
- High quality growth companies bought at the right price offer the best long-term risk adjusted return prospects for investors.
- Country and macro factors matter. Understanding country dynamics helps avoid risks and improve decision making.

OBJECTIVE

- We seek to achieve outperformance over a market cycle with lower volatility than the benchmark.

CHARACTERISTICS



This represents how the portfolio management team generally implements its investment process under normal market conditions. There is no assurance a portfolio's investment objectives will be achieved. Investing involves risks.

What We Do & We Don't

We invest in..

- ✓ Structural themes with sustainable and predictable growth
- ✓ Leaders / Emerging Leaders
- ✓ Family owned or professionally run business
- ✓ Large continental size markets

We don't invest in..

- × Business which we don't understand
- × Businesses where earnings are volatile and visibility is low
- × Cyclical
- × High political risk countries, weak institutions
- × Business prone to state interference
- × Me-too Beneficiaries / Catch-up Players/ Fads
- × Trigger-based or Momentum Winners

Structural, Scalable, Predictable, Reduced Downside

This represents how the portfolio management team generally implements its investment process under normal market conditions.

Comprehensive Approach to Risk

1st Line of Defense

Stock Risk

- **Business Risk:**
Industry structure, vulnerability to disruption, earnings visibility, distinct business drivers, ESG
- **Financial Risk:**
Preference for low financial leverage
- **Valuation Risk:**
Build downside risk into price targets
- **Management Risk:**
Quality, alignment with shareholders
- **Liquidity Risk:**
\$1bn market cap, monitor ADTV

2nd Line of Defense

Country Risk

- **Proprietary Macro Framework Analyzes:**
 - **Country Growth Risk:**
Avoid countries with decelerating growth
 - **Currency Risk:**
Minimize exposure to depreciating currencies
 - **Political Risk:**
Evaluate with country visits and macro research

3rd Line of Defense

Firm Wide Oversight

- **Risk reporting:**
Monthly BARRA risk reports using EM model, scenario analysis
- **Global Risk and Analysis Team:**
Highlight investment & operational risks to team and senior management
- **Risk Management Committee:**
Meets quarterly to discuss portfolio risk
- **CIO Framework:**
Investment team present quarterly on portfolio and market update
- **Compliance Department:**
Pre and post trade compliance
Investment guidelines compliance

This represents how the portfolio management team generally implements its investment process under normal market conditions.

Important Disclosure

Definitions

Active Share is a measure of the percentage of stock holdings in a manager's portfolio that differ from the benchmark index (based on holdings and weight of holdings). Active Share scores range from 0%-100%. A score of 100% means you are completely different from the benchmark. Active Share calculation may consolidate holdings with the same economic exposure. **Beta** is a measure of the relative volatility of a security or portfolio to the market's upward or downward movements. A beta greater than 1.0 identifies an issue or fund that will move more than the market, while a beta less than 1.0 identifies an issue or fund that will move less than the market. The Beta of the Market is always equal to 1. **Dividend yield** is the ratio between how much a company pays out in dividends each year relative to its share price. **Downside Capture Ratio** is a statistical measure of an investment manager's overall performance in down-markets. Downside capture indicates how correlated a fund is to a market, when the market declines. **"ESG" investment: Environmental Social and Governance** based investment is an investment approach which takes explicit account of the environmental, social and corporate governance aspects of all proposed investments. **Information Ratio** is the portfolio's alpha or excess return per unit of risk, as measured by tracking error, versus the portfolio's benchmark. **Number of holdings** provided are a typical range, not a maximum number. The portfolio may exceed this from time to time due to market conditions and outstanding trades. **Price/book** compares a stock's market value to the book value per share of total assets less total liabilities. This number is used to judge whether a stock is undervalued or overvalued. Dividend Yield is the ratio between how much a company pays out in dividends each year relative to its share price. **Price/cash flow** is a ratio used to compare a company's market value to its cash flow. It is calculated by dividing the company's per-share stock price by the per-share operating cash flow. **Price/earnings (P/E)** is the price of a stock divided by its earnings per share. Sometimes called the multiple, P/E gives investors an idea of how much they are paying for a company's earning power. The higher the P/E, the more investors are paying, and therefore the more earnings growth they are expecting. **Portfolio turnover** is a measure of how frequently assets within a fund are bought and sold by the managers. Portfolio turnover is calculated by taking either the total amount of new securities purchased or the amount of securities sold – whichever is less – over a particular period, divided by the total net asset value of the fund. **Return on equity (ROE)** is the amount of net income returned as a percentage of shareholders equity. Return on equity measures a corporation's profitability by revealing how much profit a company generates with the money shareholders have invested. **Tracking error** is the standard deviation of the difference between the returns of an investment and its benchmark. The **Sharpe Ratio** determines reward per unit of risk. The higher the Sharpe ratio, the better the historical risk-adjusted performance. **Upside Capture Ratio** is a statistical measure of an investment manager's overall performance in up-markets. The up-market capture ratio is used to evaluate how well an investment manager performed relative to an index during periods when that index has risen. **Volatility (Standard deviation)** measures how widely individual performance returns, within a performance series, are dispersed from the average or mean value. The **Weighted Median Market Capitalization** is the point at which half of the market value of a portfolio or index is invested in stocks with a greater market capitalization, and consequently the other half of the market value is invested in stocks with a lower market capitalization.

The **MSCI Emerging Markets Index (MSCI EM)** is a free float-adjusted market capitalization weighted index that is designed to measure equity market performance of emerging markets. The performance of the Index is listed in U.S. dollars and assumes reinvestment of net dividends.

Important Disclosure

EU Cross Border Distribution of Funds Important Disclosure

This is a marketing communication. Applications for shares in the Fund should not be made without first consulting the current Prospectus and the Key Investor Information Document ("KIID"), which are available in English and in the official language of your local jurisdiction at morganstanleyinvestmentfunds.com or free of charge from the Registered Office of Morgan Stanley Investment Funds, European Bank and Business Centre, 6B route de Trèves, L-2633 Senningerberg, R.C.S. Luxembourg B 29 192. A summary of investor rights is available in English at the same website.

If the management company of the relevant Fund decides to terminate its arrangement for marketing that Fund in any EEA country where it is registered for sale, it will do so in accordance with the relevant UCITS rules.

Distribution

This communication is only intended for and will only be distributed to persons resident in jurisdictions where such distribution or availability would not be contrary to local laws or regulations. In particular, the Shares are not for distribution to US persons.

Ireland: MSIM Fund Management (Ireland) Limited. Registered Office: The Observatory, 7-11 Sir John Rogerson's Quay, Dublin 2, D02 VC42, Ireland. Registered in Ireland as a private company limited by shares under company number 616661. MSIM Fund Management (Ireland) Limited is regulated by the Central Bank of Ireland.

United Kingdom: Morgan Stanley Investment Management Limited is authorised and regulated by the Financial Conduct Authority. Registered in England. Registered No. 1981121. Registered Office: 25 Cabot Square, Canary Wharf, London E14 4QA, authorised and regulated by the Financial Conduct Authority. **Dubai:** Morgan Stanley Investment Management Limited (Representative Office, Unit Precinct 3-7th Floor-Unit 701 and 702, Level 7, Gate Precinct Building 3, Dubai International Financial Centre, Dubai, 506501, United Arab Emirates. Telephone: +97 (0)14 709 7158). **Germany:** MSIM Fund Management (Ireland) Limited Niederlassung Deutschland, Grosse Gallusstrasse 18, 60312 Frankfurt am Main, Germany (Gattung: Zweigniederlassung (FDI) gem. § 53b KWG). **Italy:** MSIM Fund Management (Ireland)Limited, Milan Branch (Sede Secondaria di Milano) is a branch of MSIM Fund Management (Ireland) Limited, a company registered in Ireland, regulated by the Central Bank of Ireland and whose registered office is at The Observatory, 7-11 Sir John Rogerson's Quay, Dublin 2, D02 VC42, Ireland. MSIM Fund Management (Ireland) Limited Milan Branch (Sede Secondaria di Milano) with seat in Palazzo Serbelloni Corso Venezia, 16 20121 Milano, Italy, is registered in Italy with company number and VAT number 11488280964. **The Netherlands:** MSIM Fund Management (Ireland) Limited, Rembrandt Tower, 11th Floor Amstelplein 1 1096HA, Netherlands. Telephone: 31 2-0462-1300. Morgan Stanley Investment Management is a branch office of MSIM Fund Management (Ireland) Limited. MSIM Fund Management (Ireland) Limited is regulated by the Central Bank of Ireland. **France:** MSIM Fund Management (Ireland) Limited, Paris Branch is a branch of MSIM Fund Management (Ireland) Limited, a company registered in Ireland, regulated by the Central Bank of Ireland and whose registered office is at The Observatory, 7-11 Sir John Rogerson's Quay, Dublin 2, D02 VC42, Ireland. MSIM Fund Management (Ireland) Limited Paris Branch with seat at 61 rue de Monceau 75008 Paris, France, is registered in France with company number 890 071 863 RCS. **Spain:** MSIM Fund Management (Ireland) Limited, Sucursal en España is a branch of MSIM Fund Management (Ireland) Limited, a company registered in Ireland, regulated by the Central Bank of Ireland and whose registered office is at The Observatory, 7-11 Sir John Rogerson's Quay, Dublin 2, D02 VC42, Ireland. MSIM Fund Management (Ireland) Limited, Sucursal en España with seat in Calle Serrano 55, 28006, Madrid, Spain, is registered in Spain with tax identification number W0058820B. **Switzerland:** Morgan Stanley & Co. International plc, London, Zurich Branch Authorised and regulated by the Eidgenössische Finanzmarktaufsicht ("FINMA"). Registered with the Register of Commerce Zurich CHE-115.415.770. Registered Office: Beethovenstrasse 33, 8002 Zurich, Switzerland, Telephone +41 (0) 44 588 1000. Facsimile Fax: +41(0) 44 588 1074.

Australia: This publication is disseminated in Australia by Morgan Stanley Investment Management (Australia) Pty Limited ACN: 122040037, AFSL No. 314182, which accepts responsibility for its contents. This publication, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act.

Hong Kong: This document has been issued by Morgan Stanley Asia Limited for use in Hong Kong and shall only be made available to "professional investors" as defined under the Securities and Futures Ordinance of Hong Kong (Cap 571). The contents of this document have not been reviewed nor approved by any regulatory authority including the Securities and Futures Commission in Hong Kong. Accordingly, save where an exemption is available under the relevant law, this document shall not be issued, circulated, distributed, directed at, or made available to, the public in Hong Kong. **Singapore:** This publication should not be considered to be the subject of an

Important Disclosure

invitation for subscription or purchase, whether directly or indirectly, to the public or any member of the public in Singapore other than (i) to an institutional investor under section 304 of the Securities and Futures Act, Chapter 289 of Singapore ("SFA"), (ii) to a "relevant person" (which includes an accredited investor) pursuant to section 305 of the SFA, and such distribution is in accordance with the conditions specified in section 305 of the SFA; or (iii) otherwise pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In particular, for investment funds that are not authorized or recognized by the MAS, units in such funds are not allowed to be offered to the retail public; any written material issued to persons as aforementioned in connection with an offer is not a prospectus as defined in the SFA and, accordingly, statutory liability under the SFA in relation to the content of prospectuses does not apply, and investors should consider carefully whether the investment is suitable for them. This publication has not been reviewed by the Monetary Authority of Singapore ("MAS").

Important information

EMEA: This marketing communication has been issued by MSIM Fund Management (Ireland) Limited. MSIM Fund Management (Ireland) Limited is regulated by the Central Bank of Ireland. MSIM Fund Management (Ireland) Limited is incorporated in Ireland as a private company limited by shares with company registration number 616661 and has its registered address at The Observatory, 7-11 Sir John Rogerson's Quay, Dublin 2, D02 VC42, Ireland.

This document contains information relating to the sub-funds of Morgan Stanley Investment Funds, a Luxembourg domiciled Société d'Investissement à Capital Variable. Morgan Stanley Investment Funds (the "Company") is registered in the Grand Duchy of Luxembourg as an undertaking for collective investment pursuant to Part 1 of the Law of 17th December 2010, as amended. The Company is an Undertaking for Collective Investment in Transferable Securities ("UCITS").

Applications for shares in the sub-funds should not be made without first consulting the current Prospectus, Key Investor Information Document ("KIID"), Annual Report and Semi-Annual Report ("Offering Documents"), or other documents available in your local jurisdiction which is available free of charge from the Registered Office: European Bank and Business Centre, 6B route de Trèves, L-2633 Senningerberg, R.C.S. Luxembourg B 29 192. In addition, all Italian investors should refer to the 'Extended Application Form', and all Hong Kong investors should refer to the 'Additional Information for Hong Kong Investors' section, outlined within the Prospectus. Copies of the Prospectus, KIID, the Articles of Incorporation and the annual and semi-annual reports, in German, and further information can be obtained free of charge from the representative in Switzerland. The representative in Switzerland is Carnegie Fund Services S.A., 11, rue du Général-Dufour, 1204 Geneva. The paying agent in Switzerland is Banque Cantonale de Genève, 17, quai de l'Île, 1204 Geneva. The document has been prepared solely for informational purposes and does not constitute an offer or a recommendation to buy or sell any particular security or to adopt any specific investment strategy.

Any index referred to herein is the intellectual property (including registered trademarks) of the applicable licensor. Any product based on an index is in no way sponsored, endorsed, sold or promoted by the applicable licensor and it shall not have any liability with respect thereto.

All investments involve risks, including the possible loss of principal. The material contained herein has not been based on a consideration of any individual client circumstances and is not investment advice, nor should it be construed in any way as tax, accounting, legal or regulatory advice. To that end, investors should seek independent legal and financial advice, including advice as to tax consequences, before making any investment decision.

Charts and graphs provided herein are for illustrative purposes only. Past performance is no guarantee of future results

The views and opinions provided here are of the investment management team. These are not the views of the firm as a whole.

The information contained in this communication is not a research recommendation or 'investment research' and is classified as a 'Marketing Communication' in accordance with the applicable European or Swiss regulation. This means that this marketing communication (a) has not been prepared in accordance with legal requirements designed to promote the independence of investment research (b) is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Important Disclosure

MSIM has not authorised financial intermediaries to use and to distribute this document, unless such use and distribution is made in accordance with applicable law and regulation. MSIM shall not be liable for, and accepts no liability for, the use or misuse of this document by any such financial intermediary. If you are a distributor of the Morgan Stanley Investment Funds, some or all of the funds or shares in individual funds may be available for distribution. Please refer to your sub-distribution agreement for these details before forwarding fund information to your clients.

The whole or any part of this work may not be reproduced, copied or transmitted or any of its contents disclosed to third parties without MSIM's express written consent.

All information contained herein is proprietary and is protected under copyright law.

This document may be translated into other languages. Where such a translation is made this English version remains definitive. If there are any discrepancies between the English version and any version of this document in another language, the English version shall prevail.

© 2021 Morgan Stanley. All rights reserved.